

It is a manufacturing industry. If you want a stock, Wall Street will make it for you. Any business, any kind you want. Recently, the Internet being the rage, the investment bankers have worked overtime creating a stream of IPOs to meet the demand. And people love them, to judge by their P/Es, some of which have soared into the triple-digit stratosphere.

Remember back in the early eighties when the hard disk drive for computers was invented? It was an important, crucial invention, and investors were eager to be part of this technology. More than seventy disk drive companies were formed and their stocks were sold to the public. Each company had to get 20 percent of the market share to survive. For some reason, they didn't all do it.

Anything can get overdone. In the financial world, things get taken to extremes all the time, like the tulip scandal of 1637. That started with a good idea. The tulip was a terrific invention. The flower had not previously been seen in Europe, and it was a great hit, and new varieties and colors increased its popularity. There was nothing wrong with the idea. But after a few years people started selling tulip bulbs for hundreds of thousands of dollars apiece, if they were of a rare variety, and a good idea went to speculative madness.

The tulip was a good idea, disk drives were a good idea, the Internet is a good idea. They have to be good ideas or they would not become widely popular. Come up with a concept that's patently silly or harmful and people won't want it. If you open a resort whose main attraction is rock climbing up two-hundred-foot vertical faces, you can't expect it to be popular with those who have reached the age of reason. Only a small part of the population is that fond of strains and sprains. But if you start a business that sends a large steamship cruising around the middle of the ocean while the people on board get to eat and drink and dance and party, you have turned up a quite good idea. People like to do those things.

But remember, there can be too much of even a good thing.